Ch. 27 HW #1 Solutions

Principles of Macroeconomics

today

Quick Quiz

4. (d) – If tax revenue is more than government spending, then public saving $(T - G)$ is positive. If consumption is greater than after tax income, then private saving, $(Y - T - C)$ is negative.

5. (c) –

$$S_{Nat} = S_{Priv} + S_{Pub}$$
$$S_{Nat} = I = \$250$$
$$S_{Pub} = T - G = \$150 - \$200 = -\$50$$
$$\$250 = S_{Priv} + -\$50$$
$$\$300 = S_{Priv}$$

Questions for Review

3. National saving is the total income left over after consumption and government purchases: $S_{Nat} = Y - C - G$
   Private saving is the total income left over after consumption and taxes: $S_{Priv} = Y - T - C$
   Public saving is the tax revenue left over after government purchases: $S_{Pub} = T - G$
   National saving is the sum of private saving and public saving: $S_{Nat} = S_{Priv} + S_{Pub}$

4. Investment is spending on capital goods. In a closed economy, investment equals national saving: $I = S_{Nat}$

Problems and Applications

3. Saving is money not spent on consumption or government purchases. Investment is money spent on capital.

   (a) Investment – New housing is considered capital.

(b) Saving – A stock isn't capital.

(c) Saving – The deposit is money left over after consumption and taxes. Here, taxes are relevant because individuals contribute to private saving, and private saving is income left over after consumption and taxes.

(d) Investment – A car for a delivery business is a capital good.

4.

$$S_{Nat} = S_{Pub} + S_{Priv} = 0.5 + 0.2 = \$0.7 \text{ trillion}$$
$$I = S_{Nat} = \$0.7 \text{ trillion}$$
$$S_{Pub} = T - G \implies G = T - S_{Pub} = 1.5 - 0.2 = \$1.3 \text{ trillion}$$
$$Y = C + I + G \implies C = Y - I - G = 8 - 0.7 - 1.3 = \$6 \text{ trillion}$$